CASE ID: 201812710020
**EPISODE NAME: China Responds to Meng Wanzhou Arrest**
2018/12/09 - 2022/05/09
Sender: China (710)
Target: Canada (20)
Issue: Release Citizens, Property, or Material (4)
Final Outcome: Total Acquiescence by Target State following sanctions imposition (7)

**Summary:**

On 2018/12/09, China threatened Canada with "grave consequences" after Canadian authorities arrested Huawei CEO Meng Wanzhou. China responded by arresting two Canadian citizens on 2018/12/10. Reports of restrictions on Canadian exports, beginning with canola then expanding to oil agricultural products, began on 2019/02/05. The episode ended on 2022/05/19 when China lifted the last of its export restrictions, months after Meng was released.

**Narrative:**

On 2018/12/09, China vaguely threatened Canada after Canadian authorities arrested Huawei executive Meng Wanzhou on 2018/12/01.[1][2] Meng faced charges in the United States for her role in covering up Huawei's connection to a company that violated sanctions targeting Iran.[3] China's ministry of Foreign Affairs issued the threat, saying that if Canada did not release Meng it would face "grave consequences."[4] Contemporary reporting suggested that Canadian officials expected Beijing's response to result in significant economic damages.[5]

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[1] Zhou Xin and Keegan Elmer. "Beijing blames Canada for Huawei arrest and threatens 'grave consequences for hurting feelings of Chinese people'." *South China Morning Post*, December 9th, 2018. https://www.scmp.com/news/china/diplomacy/article/2177091/beijing-blames-canada-huawei-arrest-and-threatens-grave.

[2] Horowitz, Julia. "Huawei CFO Meng Wanzhou arrested in Canada, faces extradition to United States." *CNN*, December 1st, 2018. https://www.cnn.com/2018/12/05/tech/huawei-cfo-arrested-canada/index.html

[3] Zhou Xin and Keegan Elmer. "Beijing blames Canada for Huawei arrest and threatens 'grave consequences for hurting feelings of Chinese people'." *South China Morning Post*, December 9th, 2018. https://www.scmp.com/news/china/diplomacy/article/2177091/beijing-blames-canada-huawei-arrest-and-threatens-grave.

[4] "Foreign Ministry Summons Canadian Ambassador to China to Lodge Solemn Representations Against Unreasonable Detention of a Corporate Executive of Huawei by the Canadian Side" *Ministry of Foreign Affairs of the People's Republic of China*, December 8th, 2019. https://www.fmprc.gov.cn/eng/gjhdq_665435/3376_665447/3382_664830/3384_664834/202406/t20240612_11425368.html.

[5] Zhou Xin and Keegan Elmer. "Beijing blames Canada for Huawei arrest and threatens 'grave consequences for hurting feelings of Chinese people'." *South China Morning Post*, December 9th, 2018. https://www.scmp.com/news/china/diplomacy/article/2177091/beijing-blames-canada-huawei-arrest-and-threatens-grave.

On 2018/12/10, Canadian nationals Michael Kovrig and Michael Spavor were detained by China in retaliation for Meng's arrest.[6] After this did not secure Meng's release, reports emerged on 2019/02/05 that permits to export canola to China were becoming more difficult to obtain and that customs inspections had doubled in length.[7] Canola imports from two large companies – Richardson International and Viterra – were formally blocked on 2019/03/01 and 2019/03/26 respectively, with China claiming the bans were because of pest concerns.[89] By 2019/04/29, reports emerged that a growing list of Canadian agricultural products were facing obstacles at Chinese ports, including pork, soybeans, and peas.[10] Losing the Chinese market forced the Canadian government to provide $27 million in support to the agricultural industry.[11]

Tensions began to ease on 2021/09/04, when the United States agreed to dismiss charges against Meng in return for her admission of guilt.[12] She returned to China and Korvig and Spavor were released on the same day.[13] The episode ended on 2022/05/09, after the last of the informal agricultural bans appears to have been lifted.[14]

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[6] "Michael Kovrig and Michael Spavor: China Charges Canadians with Spying." *BBC News*, June 19th, 2020. https://www.bbc.com/news/world-asia-china-53104303.

[7] Nickel, Rod, Dominique Patton and Hallie Gu. "Canadian canola runs into Chinese delays after Huawei arrest." Reuters, February 5th, 2019. https://www.reuters.com/article/business/canadian-canola-runs-into-chinese-delays-after-huawei-arrest-idUSKCN1PU231/

[8] "China blocks canola shipments from Canada's Richardson: Customs document." *CNBC*, March 5th, 2019. https://www.cnbc.com/2019/03/05/china-blocks-canola-shipments-from-canadas-richardson.html

[9] Patton, Dominique and Julie Gordon. "China widens ban on Canadian canola imports to second firm, Viterra." *Reuters*, March, 26th, 2019. https://www.reuters.com/article/world/china-widens-ban-on-canadian-canola-imports-to-second-firm-viterra-idUSKCN1R713B/

[10] "Canadian soybeans, peas and pork face new delays at China's ports." *South China Morning Post*, April 29th, 2019. https://www.scmp.com/news/china/diplomacy/article/3008119/canadian-soybeans-peas-and-pork-face-new-delays-chinas-ports

[11] Chase, Steven. "'Since the end of December we have not sold a single vessel': Canadian farmers continue to struggle with China's ban on exports." *The Globe and Mail,* August 4th, 2019. https://www.theglobeandmail.com/politics/article-the-chinese-ban-on-canadian-agricultural-exports-is-increasingly/

[12] "U.S. dismissing charges against Huawei's Meng Wanzhou." *CBC*, December 2nd, 2022. https://www.cbc.ca/news/world/us-charges-meng-wanzhou-1.6671878

[13] *Ibid.*

[14] "China lifts curbs on Canadian canola, demand seen muted." *Reuters*, May 9th, 2022. https://www.reuters.com/markets/commodities/china-lifts-curbs-canadian-canola-demand-seen-muted-2022-05-19/